Telecom Customer Churn – Executive Overview

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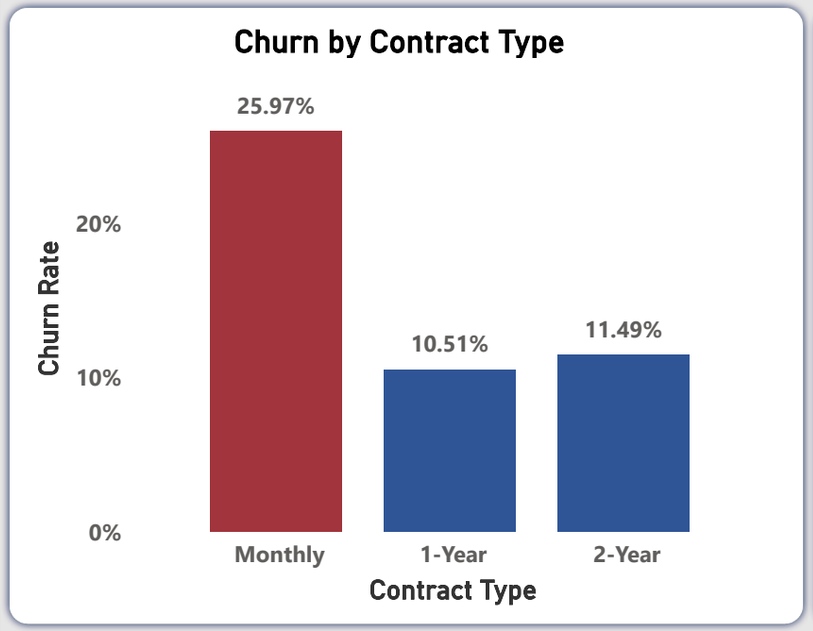
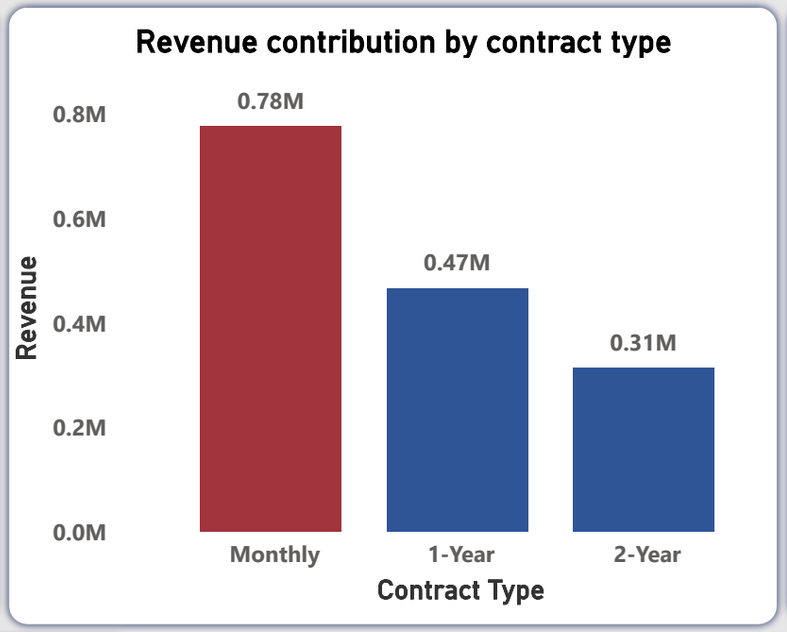
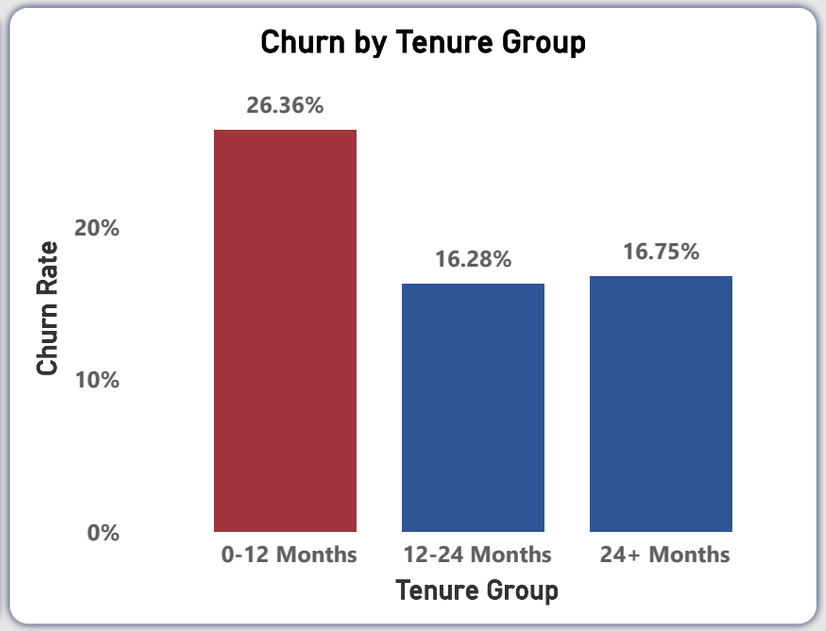
Overal Churn	Monthly Churn	First Year Churn	Annual Revenue at Risk
18.43%	25.97%	25.40%	$3.43M







Churn by Contract Type and Tenure Segment

Contract Type	0-12 Months	12-24 Months	24+ Months
1-Year	17.97%	9.19%	8.83%
2-Year	18.56%	8.23%	10.47%
Monthly	34.01%	23.86%	24.15%

Key Insight

- Customers on Monthly contracts are significantly more likely to churn during their first year, with a 34% churn rate nearly double that of long-term contract customers.
- This suggests that the early contract lifecycle is the most critical period for retention efforts.
- Prioritize first-year Monthly customers
- Strengthen onboarding and service reliability
- Deploy early retention incentives

Churn Risk Drivers and Behavioral Patterns

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Region

All

Contract Type

All

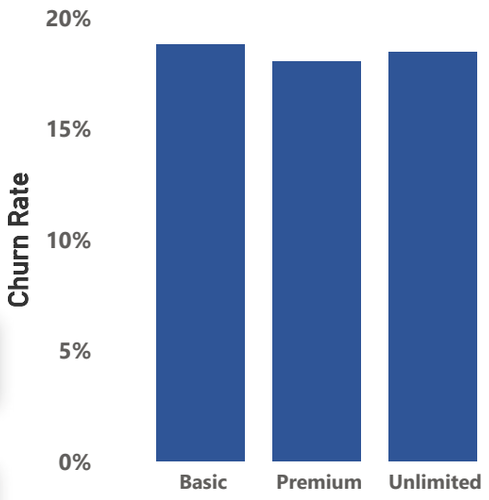
Plan Type

All

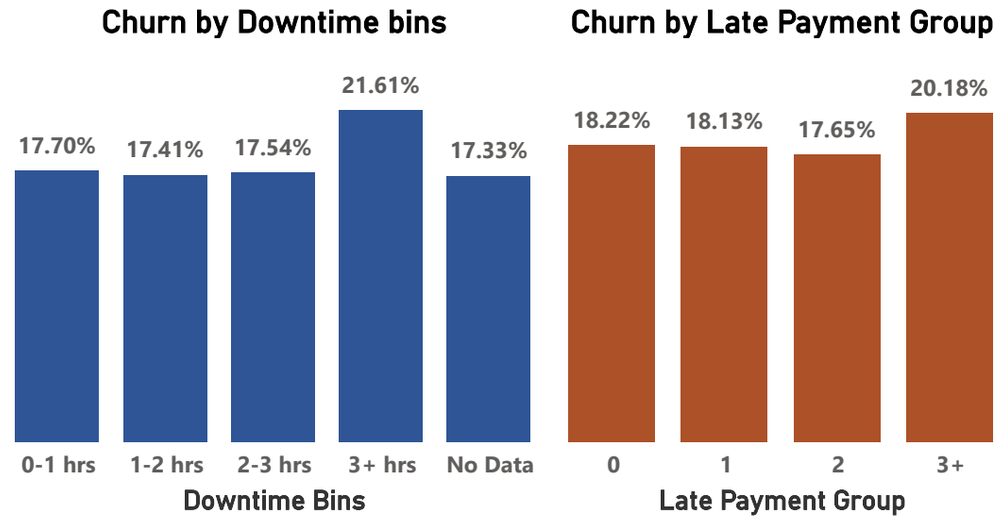
Tenure Group

All

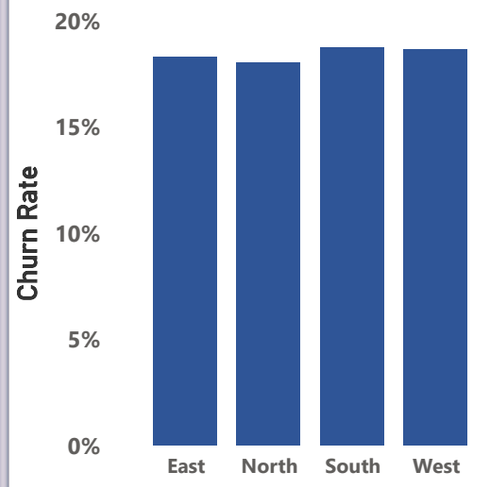
Churn by Plan type



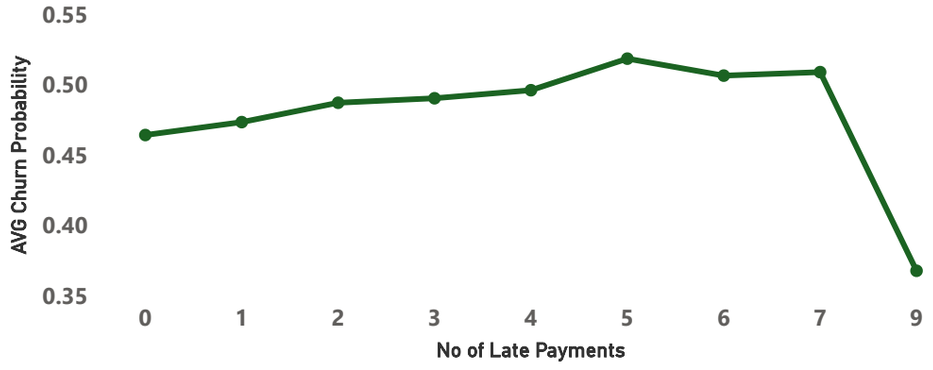
Service & Payment Behavior Impact



Churn by Region



Customer Payment Behavior & Risk Trend



Note: Observations beyond 8 late payments are limited; trends in this range should be interpreted cautiously due to small sample size.

Key Insight

- **Late Payments Increase Churn Risk**
- Customers with 3+ late payments show the highest attrition risk
- Payment instability acts as an early warning signal
- **Service Downtime Drives Customer Exit**
- Customers experiencing 3+ hours of downtime churn at significantly higher rates
- Service reliability is directly linked to retention
- **Monthly Contract Customers Are More Sensitive**
- Monthly customers react more strongly to service issues and payment delays
- Short-term contracts lack commitment buffer, increasing volatility
- **First-Year Customers Are More Likely to Leave**
- Customers in their first 12 months show higher churn rates, especially when combined with service or payment issues.

Predictive Modeling & Revenue Protection Strategy

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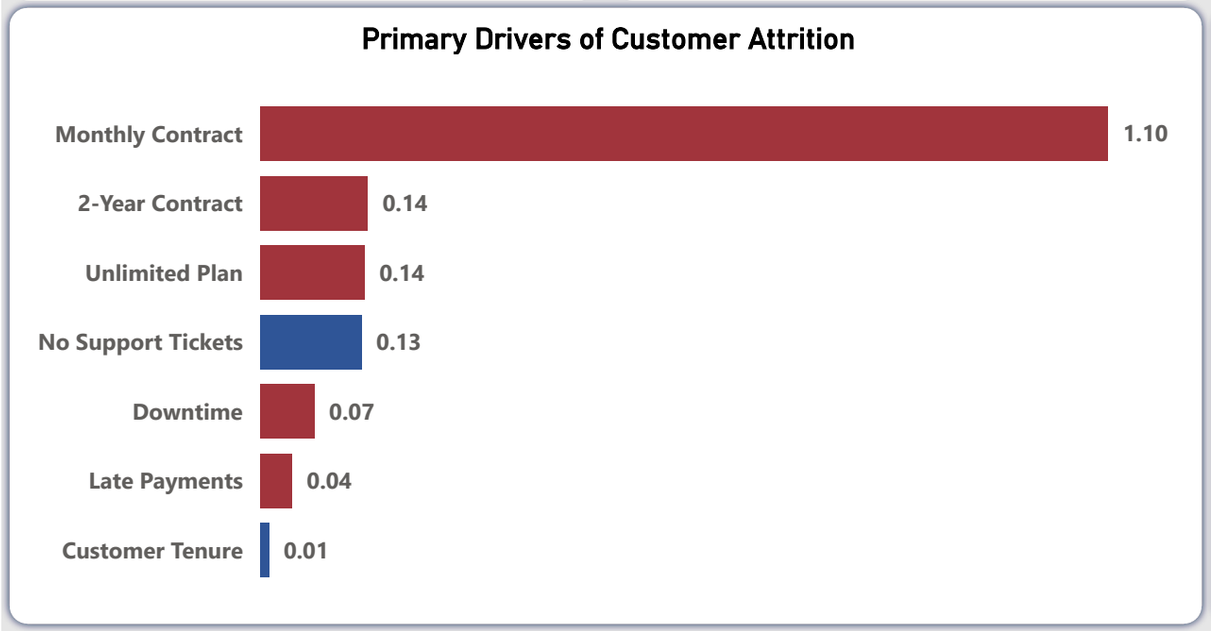
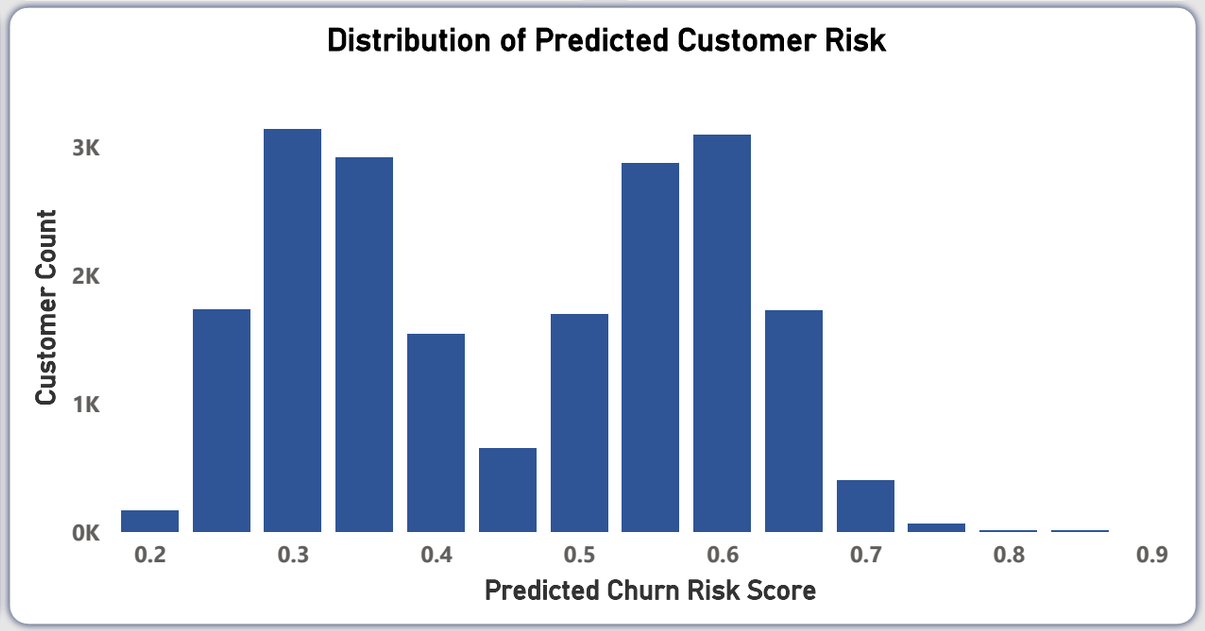
Retention sucess Rate
All

Churn Rate	Annual Revenue at Risk	High Risk Customers	Protected Revenue
18.43%	$3.43M	5K	$1.37M





Key Insight

- The overall churn rate stands at **18.43%**, representing an estimated **$3.43M in annual revenue exposure**.
- Customers on **Monthly contracts** are the strongest predictors of churn risk, significantly increasing attrition likelihood.
- Risk concentration is highest among customers with shorter tenures and service instability indicators.

Strategic Recommendation

- Prioritize proactive retention campaigns targeting high-risk Monthly contract customers.
- Improve service reliability to mitigate downtime-driven churn.
- Implement early engagement programs within the first 12 months to reduce initial churn spikes.

Potential Impact

Targeted retention efforts could protect up to **$1.37M in revenue annually**, depending on intervention success rates.